Nexus Technologies Inc.

Quarterly Financial Report — Q4 2024

Executive Summary

Nexus Technologies delivered strong Q4 2024 results, with total revenue reaching $48.7 million, representing a 23% year-over-year increase. Operating income improved to $12.3 million, driven by robust growth in our Cloud Services division and continued expansion in the Asia-Pacific region. The company's gross margin expanded by 2.4 percentage points to 68.2%, reflecting improved operational efficiency and favorable product mix shifts toward higher-margin SaaS offerings.

During the quarter, we onboarded 1,247 new enterprise customers, bringing our total active customer base to 15,832. Customer retention rate remained strong at 94.7%, with net revenue retention reaching 118%, indicating healthy expansion within existing accounts. Our R&D; investments increased by 15% quarter-over-quarter as we accelerated development of our AI-powered analytics platform, scheduled for GA release in Q2 2025.

Revenue Breakdown by Division

Division	Q4 2024 ($M)	Q3 2024 ($M)	Q4 2023 ($M)	YoY Growth
Cloud Services	$22.4	$19.8	$16.1	+39.1%
Enterprise Software	$14.2	$13.9	$13.5	+5.2%
Professional Services	$7.8	$7.2	$6.4	+21.9%
Hardware Solutions	$4.3	$4.1	$3.6	+19.4%
Total Revenue	**$48.7**	**$45.0**	**$39.6**	**+23.0%**

Operating Expenses

Total operating expenses for Q4 2024 were $36.4 million, an increase of 18.2% from Q4 2023. The increase was primarily driven by higher R&D; spending ($14.2M, up 28%) as we expanded our engineering team and accelerated product development initiatives. Sales and marketing expenses grew 12% to $11.8M, reflecting investments in our partner channel program and geographic expansion.

Category	Q4 2024 ($M)	% of Revenue	Q4 2023 ($M)	% of Revenue
Cost of Revenue	$15.5	31.8%	$14.0	35.4%
Research & Development	$14.2	29.2%	$11.1	28.0%
Sales & Marketing	$11.8	24.2%	$10.5	26.5%

General & Administrative	$4.9	10.1%	$4.2	10.6%
Depreciation & Amortization	$2.3	4.7%	$1.9	4.8%
Total Operating Expenses	**$36.4**	**74.7%**	**$30.8**	**77.8%**

Balance Sheet Highlights

Item	Dec 31, 2024	Sep 30, 2024	Dec 31, 2023
Cash & Equivalents	$89.4M	$78.2M	$62.1M
Accounts Receivable	$28.7M	$25.1M	$22.3M
Total Current Assets	$134.2M	$118.5M	$96.8M
Total Assets	$287.6M	$264.3M	$218.9M
Current Liabilities	$42.1M	$38.7M	$33.5M
Long-term Debt	$45.0M	$45.0M	$50.0M
Total Stockholders' Equity	$178.3M	$161.2M	$119.4M

Key Performance Indicators

Metric	Q4 2024	Q3 2024	Target
Monthly Recurring Revenue (MRR)	$16.2M	$14.8M	$15.0M ✓
Customer Acquisition Cost (CAC)	$4,280	$4,520	< $5,000 ✓
Customer Lifetime Value (CLV)	$48,700	$45,200	$45,000 ✓
CLV:CAC Ratio	11.4x	10.0x	> 8x ✓
Net Revenue Retention	118%	115%	> 110% ✓
Gross Margin	68.2%	66.8%	> 65% ✓
Employee Count	1,847	1,723	—
Customer Satisfaction (NPS)	72	69	> 65 ✓

Outlook & Guidance — FY 2025

For fiscal year 2025, the company expects total revenue in the range of $210M to $220M, representing year-over-year growth of 22-28%. We anticipate Cloud Services revenue to grow 35-40% as enterprise cloud adoption accelerates. Operating margin is expected to expand to 28-30% as we realize economies of scale. Capital expenditure is planned at $18-20M, primarily for data center expansion and R&D; infrastructure.

Key strategic priorities for 2025 include: (1) launch of the AI Analytics Platform in Q2, (2) expansion into three new international markets (Japan, Brazil, and Germany), (3) achievement of SOC 2 Type II certification, and (4) strategic acquisitions in the data integration space with a budget of $40-60M.